

Chapter 20

China and International Trade Law: Rising from Within the System or Always an Outlier?

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Abstract: This chapter provides a critical analysis of the People's Republic of China's engagement with international trade law, examining its role as both a rule-taker and a rule-maker. The discussion covers China's pre-reform planned economy, its voluntary adoption of global trade rules before WTO accession, trade reforms in compliance with WTO regulations, the China-US trade war (which violated international trade law), and China's stance on WTO reform. The chapter contends that during its Reform and Opening-Up period (1978–present), China has primarily acted as a rule-taker and a responsible—though occasionally hesitant—status quo power within the US-led, Western-centric international economic system. Simultaneously, China has adopted an instrumentalist approach to international trade law, pragmatically balancing trade liberalization and protectionism using industrial policy tools and non-tariff barriers to support select domestic industries.

Keywords: China; trade reform; international trade law; China and the WTO; free trade agreements; RCEP; US-China trade war; WTO reform; rule-taking; rule-making

I Introduction

The astounding success of the People's Republic of China (PRC or China) in international trade stands as one of the modern era's economic marvels. During the first three decades following the establishment of the PRC in 1949, Chinese mainland remained essentially isolated from the Western world. In 1978, when China began embracing international trade and investment, its external trade – including exports and imports – amounted to a mere USD 20.6 billion. That figure represented less one per cent of world trade, positioning China as the 32nd largest trading

nation in the world.¹ In 2021, even amid the Covid-19 pandemic that significantly hindered global trade growth, China's foreign trade reached USD 6.05 trillion, the largest in the world.² China replaced Germany as the world's largest exporter in 2009, and has maintained its status as the leading trading nation in goods since 2014.

Through trade and investment, China has become an manufacturing economy deeply integrated into the international economic system. As observed by Eichengreen and Tong, 'China's importance as an assembly platform for exports of manufactures, a destination for foreign investment, and a consumer of imported technology, raw materials and industrial goods is not a one-time shock; rather, it is an ongoing process continually reshaping the balance of global supply and demand'.³

China's foreign trade relations since 1949 have also evolved in tandem with the country's interaction with the global trade system under the umbrella of the GATT/WTO regime. Sponsored by the United States, the General Agreement on Tariffs and Trade (GATT) was established in 1947 as one of the three pillars of the Bretton Woods System in the aftermath of World War II. It entered into effect – on provisional basis though – on 1 January 1948, a year before the PRC was founded.⁴ At that time, China was officially represented by the Republic of China government as a founding signatory to the GATT.⁵ This agreement remained in effect until January 1995, when it was merged into the newly established World Trade Organization (WTO). Therefore, for the purpose of this chapter, "international trade law" primarily refers to the regulatory rules embodied within the GATT/WTO regime, along with other relevant rule sets that have emerged in the more recent decades, such as the regional and free trade agreements (RTAs/FTAs).

The PRC's engagement with international trade law is marked by numerous twists and turns. It has undergone several historical phases, from initially 'leaning to one side' – obviously the side of the Soviet Union in the 1950s, to complete isolation after severing ties with the Soviet camp in the 1960s and 1970s, to opening up to the West in the late 1970s, and finally to partially decoupling from the United States in the late 2010s. This chapter argues that,

¹ Information Office of the State Council of China, *China's Foreign Trade* [中国的对外贸易], , December 2011, Part I, at english.www.gov.cn/archive/white_paper/2014/08/23/content_281474983043184.htm..

² Press conference of the PRC General Administration of Customs, 14 January 2022, at www.customs.gov.cn/customs/xwfb34/302330/4124672/index.html.

³ Barry Eichengreen and Hui Tong, 'How China is Reorganizing the World Economy', (2006) 1 *Asian Economic Policy Review*, 74.

⁴ Andreas F. Lowenfeld, *International Economic Law*. 2nd ed. (OUP, 2008) 25-28.

⁵ See the preface of GATT 1947, at www.wto.org/english/docs_e/legal_e/gatt47_01_e.htm.

during the Reform and Opening-Up period (1978 – present), insofar as compliance with international trade law is concerned, China has primarily been a rule-taker and a responsible – though possibly reluctant at times – status quo power in the US-led, West-dominated international economic order.

Simultaneously, China has adopted an instrumentalist approach to international trade law, implementing a foreign trade policy pragmatically focused on striking a balance between trade liberalization and protectionism. This approach has been achieved through the calculated uses of industrial policy tools and non-tariff barriers designed to support selected domestic industries.⁶

II . China’s Pre-Reform Foreign Trade Regime and the Post-War International Legal Order for Trade

The trade system established for the communist planned economy, which was practiced in China from 1949 to the 1980s, formulated the initial conditions for China’s relationship with international trade law, and has remained a persistent feature in China’s currently market-oriented trade reform which started in the 1980s and unfold more substantially in the 1990s. That is, China’s trade reform has always been path-dependent, and for this reason, many characteristics of the pre-reform trade regime not only inform our understanding of China’s trade policy today but must also be considered as enduring features of contemporary Chinese trade practice. In other words, although China arguably is transitioning to a market economy, the institutional structure and practice of its economic system, including the foreign trade regime, still exhibits continuity with some features from the pre-reform periods.

The decade following the PRC’s establishment saw a trade pattern characterised by dependency on the Soviet Union. Confronted with an American costal blockade and food shortage in urban areas in the 1950s, Mao Zedong decided to ‘lean to one side,’ allowing the alliance relationship with the USSR to dominate China’s political and economic agenda.⁷ This

⁶ ‘Instrumentalism’ is the key feature of China’s approach to international law in general. See generally Jiangyu Wang and Huaer Cheng, ‘China’s Approach to International Law: From Traditional Westphalianism to Aggressive Instrumentalism in the Xi Jinping Era’ (2022) 10:1 *The Chinese Journal of Comparative Law*, 140-153.

⁷ Mao Zedong announced unequivocally in 1949 that the ‘Chinese people must lean either to the side of imperialism or to the side of socialism. There can be no exception. There can be no sitting on the fence; there is no third path.’ See I.C.Y. Hsu, *The Rise of Modern China* (Oxford: Oxford University Press, 2000) ,661.

position was prompted by both ideological and practical considerations. On the ideological front, a strong alliance with the USSR was a natural extension of the Chinese Communist Party's (CCP) pursuit of socialist and communist revolutions, as the party's political beliefs were rooted exclusively in Marxism and Leninism. On a practical level, the fledgling People's Republic was in dire need of Soviet economic and technological assistance, which was generously provided at the time. During that decade, China primarily traded with the USSR and other countries within the Soviet camp, importing capital goods such as machinery and industrial equipment and exporting mainly primary goods like agricultural and mineral products.⁸

Interestingly, during this period, China's external trade and economic relations were conducted based on an extensive range of Westphalian-style trade treaties and agreements. Gene T. Hsiao observed that in the first fifteen years of the PRC, from 1 October 1949 to 31 December 1964, Beijing concluded 408 bilateral 'economic' treaties and agreements with 48 states. These arrangements covered issues concerning (1) commerce and navigation; (2) economic aids, loans and technical cooperation; (3) trade and payments; (4) general conditions of delivery; (5) registration of trademarks, and (6) miscellaneous.⁹ These legal arrangements were made in the form of treaties (*tiaoyue*), agreements (*xieyi*), conventions (*gongyue*), declaration (*xuanyan*), protocols (*yitingshu*), and exchange of notes (*huanwen*).¹⁰

Despite being a member of the Soviet family due to the initially strong Sino-Soviet alliance, China's reliance on traditional international law tools to order its trade relations, even with the socialist countries, highlighted the young communist republic's ambivalent attitude towards international law. On one hand, following Marxist ideology, China viewed traditional international law as a coercive instrument wielded by imperialist western states to impose their will on less developed nations, as exemplified by the historical 'unequal treaties' levied on China.¹¹ On the other hand, China saw some value in international law, particularly in its use by newly emerging nation-states, such as China, to assert sovereignty and autonomy against

⁸ Madelyn C. Ross, 'China's International Economic Behaviour,' in Thomas W. Robinson and David Shambaugh (eds.), *Chinese Foreign Policy: Theory and Practice* (Oxford: Clarendon Press, 1994) 439.

⁹ Gene T. Hsiao, 'Communist China's Trade Treaties and Agreements (1949 – 1964)' (1968) 21:5 *Vanderbilt Law Review* 623, 626-627.

¹⁰ Hsiao noted that, of the 408 trade and economic arrangements mentioned above, seven assumed the title 'treaty of trade and navigation', 393 were 'agreements', 'protocols' and 'exchange of notes', while eight others took miscellaneous designations such as 'correspondence', 'joint statement', 'communique', and others. See *Ibid*, 628-629.

¹¹ Suzanne Ogden, 'Sovereignty and International Law: The Perspective of the People's Republic of China' (1974) 7 *New York University Journal of International Law & Politics* 1, 8-9; Wang Tieya, 'International Law in China: Historical and Contemporary Perspectives', (1990) 221 *Recueil de Cours* 195, 250-262.

powerful foreign forces attempting to interfere in their internal affairs.¹² In this sense, employing legal instruments provided by traditional international law enabled Beijing to participate in international negotiations and establish itself as a recognized, legitimate international player.¹³

The PRC's ideological and practical honeymoon with the Soviet was short-lived. In the early 1960s, the China-Soviet alliance deteriorated into a split that eventually led to the emergence of a new trend of pragmatism in China's international economic relations in the 1970s oriented towards seeking cooperation with the West. The shift occurred after China ceased economic ties with the USSR – and, naturally, with many of the socialist countries within the Soviet sphere of influence – primarily due to ideological disagreements. However, for most of the 1960s, China essentially closed its door to the outside world, maintaining substantial trade relations with neither the Soviet camp nor with the Western camps. Consequentially, its economic interactions with the rest of the world touched upon the lowest levels, while its commitment to communist revolutionary ideals and ties with the Third World peaked.¹⁴ Mao Zedong's 'Great Leap Forward' campaign, based on a radical idea of self-reliance, assigned a minor role to foreign trade. Nevertheless, China still had to import significant quantities of grains and other basic consumption goods in the early 1960s because its own agricultural and industrial performance output plummeted and resulted in three consecutive years of nationwide great famine.¹⁵

It was also during the 1960s that China began to diversify its trading partners. In 1960, Prime Minister Zhou Enlai approved trading with Japan, which led to Japan becoming China's largest trading partner in 1965. Trade with Western Europe also increased dramatically with China's shifting its purchase of industrial equipment from the USSR to Western suppliers. Meanwhile, trade with the British colony of Hong Kong continued to expand.¹⁶

In the 1970s, despite the domestic chaos resulting from the ongoing 'Cultural Revolution' (1966-1976), China's relations with the West gradually improved as Mao Zedong pragmatically turned to the West in search of political cooperation and economic support. Between 1970 to 1972, normalized relations were established with Canada, West Germany,

¹² Wang and Cheng (n 6) 141.

¹³ Hsiao (n 10) 625 (noting 'trade treaties and agreements ... become a convenient become the [Chinese] regime's diplomatic interests').

¹⁴ Ross (n 8) 439.

¹⁵ Hsu (n 7) 655-658.

¹⁶ Ross (n 8) 209.

and Japan. These developments were followed by President Nixon's visit to China in 1972, a year after China entered the United Nations. Trade with the West expanded tremendously when political relations were normalized: US-China trade alone jumped from USD 5 million to more than USD 800 million in 1973. From that point on, members of the Western economic camp, including Japan, US, West Europe, Singapore, and Hong Kong, assumed the roles as China's top trading partners in the next several decades.¹⁷

In essence, the pre-reform trade regime in China was characterised by three main features. First, from the late 1950s, the organization of foreign trade in China was entirely monopolised by the state through the central government. Around 4,600 private companies, established during the Republic of China period (1912-1949) and controlling one-third of the country's total foreign trade at that time, continued to operate in China in the early 1950s. The 'socialist transformation of ownership of the means of production' from 1953 to 1956 eliminated private ownership almost entirely. As a result, foreign trade became completely controlled by a small group of specialised state trading corporations, the number of which varied between ten and sixteen at different times, led by the PRC Ministry of Foreign Trade.¹⁸ Corresponding to the separation of functions between different ministries in China's planned economy, there was also a clear division of labour among the national foreign trade corporations. For instance, only the China National Chemicals Import and Export Corporation could handle the produce of state-owned factories managed by the Ministry of Chemical Industry. Similarly, the China National Cereals, Oils, and Foodstuffs Import and Export Corporation dealt exclusively with good produced by farms and factories supervised by the Ministry of Agriculture.¹⁹

Second, foreign trade served as an instrument of the planned economy to implement the strategy of 'import substitution'. In fact, China's foreign trade pattern before the late 1970s could be characterised as an extreme example of **import** substitutionalism. As stated by a Chinese trade official in 1955, 'the purpose of importing more industrial equipment from the Soviet Union is to lay the foundation of China's industrial independence, so that in the future China can make all of the producers goods it needs and will not have to rely on imports from

¹⁷ Hsu (n 7) 442-443.

¹⁸ In 1955, the central foreign trade corporations managed already more than 99 per cent of the PRC's total foreign trade. See Robert Kleinberg, *China's Opening to the Outside World: The Experiment with Foreign Capitalism* (Boulder: Westview, 1990), 105.

¹⁹ Nicholas Lardy, *Foreign Trade and Economic Reform in China* (Cambridge: Cambridge University Press, 1992), 16-17.

the outside.’²⁰ Under the centralized trade planning system, the State Planning Commission designed trade plans covering more than 90 per cent of all imports and almost all exports. The demand for imports was intended to primarily increase the supplies of machinery and equipment, industrial raw materials, as well as, intermediate goods that were in short supply and needed to meet the production targets for high priority final goods. Exports were not meant to gain wealth from the international markets based on China’s comparative advantage, but instead were intended to earn foreign exchange to finance imports.²¹ Once demands of imports were determined, exports sufficient to pay these imports were then identified. Goods for which domestic supplies exceeded planned demands were the most obvious potential exports. However, if they were still not adequate in value to pay the demanded imports, goods for final consumption in the domestic economy would be cut back to free up more goods for exports.²²

Institutionally, this type of trade regime, sustained by a high degree of trade protectionism and an overvalued exchange rate of the renminbi (RMB) or Chinese Yuan, was biased for production for the domestic market and against production for export.²³ This orientation is embedded in the third feature of China’s pre-reform trade regime, which was the disconnect between RMB exchange rates and foreign trade insofar as the magnitude and commodity composition of imports and exports were concerned.²⁴ First, prices of all domestic products were officially fixed – which was the essence of the planned economy system. Although exports prices had to align with international markets, export products were sold to the centrally owned foreign trade corporations at officially decided domestic prices. The different prices – and, accordingly, costs – between domestic and international markets thus played little or no role in determining the pattern of exports. As the producers for export products could not share the profits and losses in exports, they had little incentive (except for the ‘spirit of socialist patriotism’) to expand production of goods no matter whether the goods were highly demanded in international markets or not. Similarly, import prices had no direct relationship with the actual selling prices of the imported products in domestic markets. Domestic prices of imported goods were largely determined according to domestic like products. Because imports were made only to supplement domestic production and imports

²⁰ Ross (n 8) 438.

²¹ Lardy (n 19) 18.

²² Lardy (n 19) 17.

²³ Hui Feng, *The Politics of China’s Accession to the World Trade Organization: The Dragon Goes Global* (London: Routledge, 2006) 42.

²⁴ Nicholas Lardy, *Integrating China into the Global Economy* (Brookings Institute Press, 2002) 30.

were sold domestically at non-competitive prices, they presented no threats or pose any competitive challenges to domestic producers.

In a nutshell, China's pre-reform foreign trade system was designed to achieve industrialisation through an import-substitution strategy. The system operated to protect inefficient domestic producers from foreign competition and made little space for the law of comparative advantage to play a role. During the same period, international trade law under the auspices of the GATT experienced seven rounds of multilateral trade negotiations.²⁵ The GATT was created to promote open markets and freer trade through negotiations based on the free trade philosophy of comparative advantage, using primarily rules-based tools such as the most-favoured nation principle, the national treatment principle, reciprocity, prohibitions on quantitative restrictions, trade remedy laws, etc.²⁶ The Tokyo Round of negotiations (1973-1979), with 102 countries participating, cut the tariffs of the world's nine major industrial economies by one-third and brought the average tariff on industrial goods to 4.7 per cent. It also shifted trade talks from the traditional focus on customs duties to non-tariff barriers, including agricultural trade, customs valuation, government procurement, technical barriers to trade, import licensing, anti-dumping duties, as well as, subsidies and countervailing duties.²⁷

However, China was entirely detached from the dynamic development of international trade law from the 1940s to 1970s. As noted previously, the Republic of China, led by the Nationalist/Kuomintang government, was a founding signatory to the GATT and occupied China's seat in the organization until 1950 when it formally withdrew 'China' from the GATT, reportedly under the pressure from the United States, which feared the PRC taking over China's status as a Contracting Party to the GATT.²⁸ In March 1965, Taiwan, in the name of the Republic of China, was accepted by the GATT's **CONTRACTING PARTIES** as an observer, until the same **CONTRACTING PARTIES** acted to remove Taiwan from GATT based on the UN General Assembly Resolution No. 2758 (XXVI) recognizing the PRC government as the sole legal representative of China in the United Nations and its affiliated associations in

²⁵ The World Trade Organization, 'The GATT Years: from Havana to Marrakesh' at www.wto.org/english/thewto_e/whatis_e/tif_e/fact4_e.htm.

²⁶ John H. Barton et al., *The Evolution of the Trade Regime: Politics, Law, and Economics of the GATT and the WTO* (Princeton: Princeton University Press, 2006) 27-38.

²⁷ Gerald M. Meier, 'The Tokyo Round of Multilateral Trade Negotiations and the Developing Countries', (1980) 13: 2 *Cornell International Law Journal* 245-247.

²⁸ 'Zhongguo Rushi Shizhounian: 'The 10th Anniversary of China's WTO Membership: Shi Guangsheng Looks Back on the Hardships in China's WTO Accession'[中国入世十周年], *21 Century Economic Journal*, 19 Feb 2011, at shiguangsheng.mofcom.gov.cn/article/activities/201204/20120408078245.shtml. (note Shi Guangsheng was China's Minister for Foreign Trade and Economic Cooperation, known as the MOFTEC, who led China's negotiation team and signed China's WTO access protocol in 2001).

October 1971.²⁹ Although this move offered a chance for the PRC to join the GATT, Premier Zhou Enlai decided not to engage GATT out of two concerns. First, China felt that the GATT was a ‘rich countries’ club’, and as a non-industrialized nation, China had a sense of insecurity about being part of it. Second, China, quite rightly, realized that the GATT operated on the basis of market economy principles and capitalism, which were fundamentally incompatible with its planned economy system.³⁰

III . China’s Pre-WTO Trade Reform: Voluntary Compliance With International Trade Law

The PRC embarked on a reform course to engage with the liberal international economic order in the late 1970s. A few years after Chairman Mao’s death, Deng Xiaoping ended China’s isolation from the West and removed many of the ideological barriers to market oriented economic growth. The Third Plenum of the Eleventh Central Committee of the CCP Congress held in December 1978 was a game changer and landmark development in the political and economic life of Post-Mao China, marking the official launch of the Reform and Opening-Up policy.³¹ Foreign trade was assigned a significant role in the reform programme since Chinese policy-makers, with a changed mentality, were more receptive to the lessons of international specialization and prepared to advance China’s comparative advantages in world markets. The system of foreign trade planning was gradually dismantled in the 1980s, and the framework of a decentralised, market-oriented system was gradually established to allow China to trade with as many countries as possible and to enhance its full-capacity participation in the international economic system.

From the inception of the ‘Reform era’, China’s trade reform, as a part of the country’s comprehensive economic liberalization programme (*jingji gaige*), was intended to make China’s foreign trade regime compatible with the GATT-based international trade system. On this basis, reform measures were designed to increase the number and types of enterprises (though not yet individuals) eligible to engage in foreign trade, introduce trade policy

²⁹ Ya Qin, ‘China and GATT: Accession Instead of Resumption’, (1993) 27 *Journal of World Trade* 77, 80.

³⁰ Interview with Shi Guangsheng (n 28).

³¹ Ronald Coase and Ning Wang, *How China Became Capitalist* (New York: Palgrave Macmillan, 2012) 41 (noting ‘[b]oth the Chinese government and academic circles view the Third Plenum as the beginning of China’s market transformation, the genesis of the extraordinary story that unfolded in the following three decades, as the world’s most populous country turned from a poor, stagnant socialist economy into one of the world’s most dynamic economies.’)

instruments permitted by GATT that were previously absent or unimportant in a planned economy, and adopt trade remedy laws by transplanting relevant GATT rules.

The expansion of trading rights was one of the most significant initiatives adopted in the early stage of reform. As mentioned earlier, pre-reform trading rights were exclusively held by about a dozen specialized foreign trade corporations. This monopoly was gradually curtailed in the 1980s and 1990s when a significant number of other enterprises were authorized to conduct foreign trade. First, the laws and regulations on foreign investment promulgated in the late 1970s and 1980s allowed all foreign-invested enterprises the right to engage in foreign trade. This was coupled by the Ministry of Foreign Trade creating hundreds of trading companies on annual basis during the same period. By 2001, more than 35,000 firms were licensed to engage in foreign trade.³² Meanwhile, the number of commodities which were subject to the exclusive trading rights of the specialized foreign trade corporations were greatly reduced, and most trading activities of the new trading companies were no longer subject to state planning.³³

The creation of market-based, GATT-permitted trade policy instruments to replace the old importing planning mechanism was another milestone in the economic transformation of the Reform era. These primarily included tariffs and non-tariff barriers such as import/export licenses and quotas. Before reform, tariffs had little effect on the pattern of imports. From the early 1980s, tariffs on many products were set to block the influx of foreign goods into Chinese markets as state trade planning was being phased out. The initial tariffs were rather high, averaged 56 per cent in 1982. However, in the following two decades, China launched more than ten rounds of massive tariff cuts, reducing average MFN tariff rate to 15 per cent in 2001, which was about half that of India and roughly equivalent to Brazil and Mexico'.³⁴ In other words, in terms of systematic tariff reductions,, China demonstrated to be more of a free trade practitioner than many existing WTO members, possibly as a deliberate gesture. The most dramatic tariffs cuts occurred in the 1990s thanks mainly to China's enthusiastic pursuit of WTO membership: the average import tariffs, still at 42 per cent in 1992, was reduced to 35 per cent in 1994. In the next three years, tariffs were further cut by half to 17 per cent in 1997.

³² Lardy (n 24) 41. See also Jiangyu Wang, 'The Evolution of China's International Trade Policy: Development Through Protection and Liberalization', in Y.S. Lee (ed.), *Economic Development through World Trade* (London: Kluwer Law International, 2007), 196.

³³ Wang (n 32) 197.

³⁴ Lardy (n 24) 33.

As an economist observed, the ‘most important reason for taking such a major step in opening up was that China hoped to accede to the WTO as soon as possible.’³⁵

Non-tariff measures, including licenses and quotas, were also created in the early 1980s to fill in the gaps of foreign trade administration when central trade planning was fading away. In 1992, Tong Zhiguang, Vice Minister of Foreign Trade, testified before the GATT’s Working Party on China’s Accession in Geneva that the Chinese government had decided to abolish the planned economy-based import-substitution list and replace it primarily with tariff and non-tariff measures in line with the spirit of GATT.³⁶ As observed by Nicholas Lardy, although these non-tariff measures are typically viewed as restrictions on trade, they represented a step towards free trade in the Chinese context of transforming from a planned to market economy since they are market-based and less trade-restrictive measures.³⁷ Furthermore, the use of non-tariff measures was also oriented towards achieving trade liberalization objectives, with the ultimate goal of facilitating China’s joining of the GATT/WTO regime. Quotas and licenses reached their peak level in the late 1980s, covering products of 46 per cent of all imports. The share of licensed imports fell to 18 per cent in 1992, followed by larger scale of cuts in the next few years, presumably in preparation for WTO accession. By the end of the 1990s, only four per cent of tariff lines (five per cent of the total) were subject to import licensing, accounting for just 8.45 per cent of China’s total imports.³⁸ At the end of this period, the import substitution system was totally repealed.³⁹

During this period, China also internalized some of the major legal principles of the GATT-based international trade system. The Foreign Trade Law, adopted in 1994, provided for MFN and national treatment in trade relations with other countries on reciprocal basis.⁴⁰ It transplanted the GATT’s trade remedy rules, including anti-dumping, countervailing duties and safeguards, all of which were widely employed by market economies in the name of fair trade. More significantly, the substitution of the market-based trade policy instruments and the internalization of international trade regulations for the traditional trade planning models underlined a movement from administrative governance to legal governance in China’s foreign trade regime. More significantly, the unilateral liberalization measures represented China’s

³⁵ Miaojie Yu, *China’s Miracle in Foreign Trade* (London: Springer, 2022) 6.

³⁶ Wang (n 32) 197.

³⁷ Lardy (n 24) 39.

³⁸ Ibid.

³⁹ Wang (n 32) 197.

⁴⁰ Foreign Trade Law of the People’s Republic of China, adopted by the National People’s Congress on 12 May 1994, Art. 6.

voluntary compliance with international trade law in its endeavour to join the GATT/WTO system.

IV . China As a Rule-Taker in the WTO: Commitments, Compliance, and Performance

China's formal acquisition of WTO membership on 11 December 2001 marks the beginning of its journey to fully embrace the international economic system underpinned in part by international trade law.⁴¹ As a WTO member, China is bound to abide by the entire package of GATT/WTO law, essentially without exceptions.⁴² China's enthusiasm in pursuing WTO membership and its performance in the organization were indicative of its attitude towards the international rule of law, at least in the economic arena. Once a WTO member, China has demonstrated its ability to play by the rules of international trade law without allowing its domestic economic agenda to be controlled or determined by external forces. In addition, China has attempted to take advantage of the legalism feature of WTO law to put its competitors – mainly the United States and Europe – in a defensive position.

In WTO negotiations, China has been cautiously maintaining a balance between promoting free trade and supporting the interest of the developing countries, or the Global South, to prevent radical trade liberalisation and allow them the policy space to protect domestic producers. On the other hand, international economic law, especially GATT/WTO based international trade law, has profoundly changed China's economic system, its international economic behaviour, and the Chinese people's mentality regarding China's relationship with the liberal international economic order.

4.1 Membership: From GATT 'Resumption' to WTO 'Accession'

⁴¹ WTO Doc. WT/Let/408, 20 November 2001 (letter from WTO Director-General Mike Moore to note China's notification of acceptance and the entry into force of its WTO membership).

⁴² In the Letter of Ratification of the WTO accession Protocol signed by the then Chinese President Jiang Zemin and Foreign Minister Tang Jiaxuan, China declared that it would 'fully comply with everything provided in the Protocol'. See Pin Zhun Shu [Letter of Ratification], 1 November 2001, available in **Office of the National People's Congress Standing Committee (ed.), *Legal Documents on China's WTO Accession and the Related International Treaties*** [中国加入世界贸易法律文件](Beijing: Chinese Democracy and Legal System Press, 2002) 3. See also Jiangyu Wang, 'The Rule of Law in China: A Realistic View of the Jurisprudence, the Impact of the WTO, and the Prospects for Future Development, (2004) *Singapore Journal of Legal Studies* 347, 374.

The PRC sent a delegation to observe the meeting of GATT Contracting Parties in November 1982, shortly after the Reform era started, and became a formal Observer at GATT in November 1985.⁴³ On 10 July 1986, the PRC officially requested for GATT membership.⁴⁴ China set three principles, or preconditions,: (i) it sought ‘the resumption of its status as a contracting party to GATT’;⁴⁵ (ii) it would join GATT as a developing country; and (iii) it would not accept any discriminatory provisions in exchange for WTO membership.⁴⁶

The ‘resumption’ request was nothing but an indication of the PRC’s insistence on international acceptance of its identity as the sole legitimate government for China including the Taiwan island where the ‘Republic of China’ government was based. However, the PRC pragmatically accepted GATT’s condition to treat ‘resumption’ as a legal formality only and agreed that ‘the PRC would not inherit any rights and obligations from China’s original contracting party status, and all substantive terms of China’s GATT membership would be subject to negotiation.’⁴⁷ The negotiation lasted fifteen years, from 1986 to 2001, culminating in the conclusion of an US-China agreement on 15 November 1999 that outlined the terms China would accept in order to earn American support of its WTO membership.⁴⁸ During this period, the WTO replaced GATT in 1995, rendering the ‘resumption’ of GATT status a meaningless legal point. After the China-US deal, China reached agreements with the European Union in May 2000 and Mexico in September 2001. The case then moved to Geneva for a WTO working party to formulate a protocol on China’s accession, leading to China’s official joining of the global trade institution in December 2001.⁴⁹

China’s WTO accession was the single most significant event in the WTO’s history since its establishment. Raj Bhala noted that ‘[t]he story itself is an epic saga, and no country currently seeking WTO Membership – Saudi Arabia, Iran, and Russia, for example – could possibly create a more complex array of issues than has [China].’⁵⁰ The sheer size of China’s population, its political influence, its giant economic scale, and its share in world trade gave

⁴³ ‘Chronicle of Events in China’s Resumption of GATT Status and WTO Accession’, 15 November 2011, at www.scio.gov.cn/ztk/xwfb/51/10/Document/1047822/1047822.htm..

⁴⁴ ‘China’s Status as a Contracting Party – Communication from the People’s Republic of China’, GATT Doc. L/6017 (14 July 1986).

⁴⁵ Ibid.

⁴⁶ Qin (n 29) 77.

⁴⁷ Qin (n 29) 78.

⁴⁸ ‘Bilateral Agreement on China’s Entry into the WTO between China and the United States’, at www.fmprc.gov.cn/mfa_eng/ziliao_665539/3602_665543/3604_665547/200011/t20001117_697866.html.

⁴⁹ ‘Chronicle of Events’ (n 43). See also Protocol on the Accession of the People’s Republic of China, WT/L/432, 23 November 2001 (hereinafter ‘China Protocol’).

⁵⁰ Raj Bhala, *International Trade Law: Theory and Practice* (New York: Lexis Publishing, 2001) 143.

rise to expectations that China's presence in the WTO would contribute to the healthy development of international trade law. In other words, 'China's accession to the WTO will help strengthen and improve the multilateral trade system, promote world economic and trade development, and establish a new, open, and just international economic order.'⁵¹ However, although China accepted 'WTO-plus' obligations – a concept to be explained further below, its performance in the WTO exhibits a rather complex relationship with the multilateral trading system sustained by international trade law.

4.2 China's WTO Commitments and Their Impacts

1. WTO Plus Obligations

Upon joining the WTO, China 'swallowed a set of obligations which were much stricter than it was originally prepared to accept'. Further, contrary to its original intention of serving as a developing country member in the WTO, China 'joined the WTO neither as a developing country nor a developed country but as something in between'.⁵²

One issue in the package of legal obligations China accepted for its WTO Membership is worth highlighting, as it may have profound implications for the development of international trade law. Julia Ya Qin observed that the Protocol on China's WTO accession (hereinafter the China Protocol) is a rather unique legal document because it "has significantly revised WTO rules of conduct when applied to China" by containing "a large number of special provisions that elaborate, expand, modify or deviate from the existing WTO agreements"⁵³, with respect to, in particular, transparency, judicial review, uniform administration, national treatment, foreign investment, market economy status and transitional review.⁵⁴ For example, the China Protocol requires China to afford national treatment to foreign persons and foreign-invested enterprises with respect to conditions affecting their production of goods in China and the marketing and sales of such goods, but GATT/WTO law itself only require such treatment for imported goods.⁵⁵ China also accepted that it would be treated as a "non-market economy"

⁵¹ Huang Xingwei, 'PRC, British Deputy Prime Ministers Hold Talks' (World News Connection, 20 January 2000, Westlaw no. WL10331994), quoted in Wang (n 32) 198.

⁵² Wang (n 32) 198.

⁵³ Julia Ya Qin, "'WTO-Plus' Obligations and Their Implications for the World Trade Organization Legal System: An Appraisal of the China Accession Protocol', (2003) 37:3 *Journal of World Trade* 483.

⁵⁴ *Ibid*, pp. 491-509.

⁵⁵ *Ibid*, p. 500.

(NME) and committed to take specific measures to ‘improve’ its economic system to let market forces determine prices, ensure that state-connected enterprises operate on commercial basis without state influence, and liberalize foreign trade regime. However, none of these commitments have treaty basis in any of the existing provisions of the WTO Agreements and are therefore considered “WTO-plus” obligations.

Qin argued that such country-specific “WTO-plus” obligations, which apply only to China, may have some positive implications for positive law, such as providing a new standard for WTO rules and trade liberalization.⁵⁶ However, they also generate negative “grave implications” for the WTO legal system in general, because they damage “the uniformity of WTO rules of conduct and new dispute settlement system”.⁵⁷ *In other words, such discriminatory treatment against China directly undermines the spirit of the rule of law which the WTO system intends to promote. Further, the many special, WTO-plus provisions in the China Protocol, which were made on *ad hoc* basis in the accession negotiations, remarkably lack clarity and consistence, and many of them are unlikely to be followed and enforced.*⁵⁸

The WTO-plus phenomenon raises a profound issue in emerging economies’ interaction with the international economic system. China’s immense size and unique socio-political system would make it reasonable to argue that it is always a special case among trading nations. On the other hand, China was not the only Asian country subject to special, extra obligations. Vietnam joined the WTO in January 2007 and also accepted “WTO-plus” obligations, many of which are similar to China’s. As will be discussed later, China’s positive contributions to rule-making and norm-creation in international trade law are still wanting, but China-related state practice is increasingly an important source generating or inspiring new rules and standards in international economic law.

Both the normal and WTO-plus obligations are embedded in China’s general and specific commitments in its accession Protocol and schedules, which can be divided into the three groups: market access commitments, rule of law related commitments, and rules-based commitments, explicated below.

2. *Market Access Commitments on Goods and Services*

⁵⁶ Ibid, p. 512-513.

⁵⁷ Ibid, p. 514.

⁵⁸ Ibid, pp. 517-518.

On trade in goods, the central market access provisions served to open Chinese markets to foreign exports. China agreed to bind all tariff lines for imported merchandises and reduce the average bound rate for industrial goods to 8.9 per cent. Duties on cars were committed to fall to 25 per cent by mid-2006. The agreed average rate for agricultural products was 15 per cent by 2010. China also acceded to the Information Technology Agreement (ITA), and thereby agreed to eliminate tariffs on all products covered ITA by 1 January 2003 and all remaining IT products before 2005.⁵⁹ In addition, China agreed to remove all quotas, licenses, tendering requirements, and other non-tariff barriers to imports by 2005.

More significant market access concessions from China were regarding services. China agreed to open services sectors including telecommunications and internet, banking, insurance, securities, audiovisual, distribution, and a wide range of professional services including legal services and computer services. Foreign services suppliers would be allowed to offer services in those services markets with fewer barriers.⁶⁰

Putting China's market access concessions in a comparative light may lead to a conclusion that China more broadly and deeply embraced global free trade and the underpinning trade rules than many existing WTO members when it joined the organization. For example, China's 8.9 per cent bound average tariff, which dropped to 6.5 per cent by early 2022,⁶¹ was comparably more favourable to foreign exporters than Argentina, Brazil, India, and Indonesia, four other large developing countries whose average bound tariff rates were 30.9, 27.0, 32.4, and 36.9 percent, respectively.⁶² China committed to bound all tariffs, while many WTO members, including some industrial countries, agreed to bind only a portion of their tariffs.⁶³ On services, China made commitments in all services sectors under the General Agreement on Trade in Services (GATS), while very few other WTO members had done so, and China's commitments would mean to produce deeper services liberalization than many other countries.⁶⁴

3. Commitments to Accept Discriminatory Rules

⁵⁹ Wang (n 32) 199.

⁶⁰ Wang (n 32) 201-202.

⁶¹ Chad P. Bown, 'US-China Trade War Tariffs: An Up-to-Date Chart', 22 April 2022, the [Peterson Institute for International Economics](https://www.piie.com/research/piie-charts/us-china-trade-war-tariffs-date-chart) at www.piie.com/research/piie-charts/us-china-trade-war-tariffs-date-chart.

⁶² Lardy (n 24) 79.

⁶³ Ibid.

⁶⁴ Ibid, 79-90.

GATT/WTO law contains not only market accession requirements but also rules that direct how nations will conduct their trade. China agreed to comply with all the WTO rules like any other WTO members. However, in the areas of trade remedy measures, including anti-dumping, subsidies and safeguards, ‘China was pressed to accept discriminatory treatment, that is, it is subject to WTO-plus requirements more onerous than those accepted by any other member’ of the WTO.⁶⁵ In addition, China also accepted additional, rules-based obligations in regard to national treatment for foreigners and the liberalization-oriented reform of its own foreign trade regime.

Specifically, in anti-dumping investigations initiated by other WTO members, China would not be treated as a market economy for fifteen years after joining the WTO insofar as price comparability is concerned. That is, during those years, Chinese prices would not be used unless Chinese producers can establish that China is a market economy under the national law of the importing country, or that market economy conditions prevail in the particular industry or sector concerned.⁶⁶ That would allow the US and other WTO members to continue to treat China as a non-market economy for years.

On subsidies and countervailing practice, China agreed to eliminate all subsidy programmes falling within the WTO’s Agreement on Subsidies and Countervailing Measures (the SCM Agreement). It also accepted discriminatory treatment that, in identifying and measuring the value of certain subsidies provided by the Chinese state to enterprises, other WTO members may turn to foreign or other market-based criteria ‘if there are special difficulties’ in applying the relevant rules of the SCM Agreement (i.e. when internal Chinese benchmarks are deemed inappropriate).⁶⁷

Safeguards measures under GATT permit a WTO member to impose quantitative restrictions on imports under certain circumstances. Countries adopting safeguards are subject to a high threshold of preconditions, as the WTO does not intend to encourage trade protectionism. In this regard, China accepted a set of very discriminatory obligations, allowing other WTO members to easily launch safeguard measures against Chinese exports, as evidenced in the ‘Transitional Product-Specific Safeguard Mechanism’ in the China Protocol.⁶⁸ For example, while WTO’s Agreement on Safeguards allow a WTO Member to apply

⁶⁵ Ibid, 80.

⁶⁶ China Protocol (n 49), Art. 15.

⁶⁷ Ibid, Art. 15(b).

⁶⁸ Ibid, Art. 16.

safeguard measures to a product only if there exists ‘serious injury’ caused or threatened by increased quantities of such product being imported,⁶⁹ any WTO Member can adopt safeguard measures on Chinese products on the grounds of ‘market disruption’, a term which almost issues a blank check for other WTO members to punish China based on criteria that are broadly defined.⁷⁰

4. Rule of Law Related Commitments: International Trade Law’s Contribution to Chinese Legal System

Several obligations in the China Protocol are not directly specific commitments on market access, but instead general requirements related to the legal environment of doing business in China. In other words, these obligations are worth noting as they require China to reform its legal system towards the rule of law.

The first one is transparency, which is an essential element of the rule of law,⁷¹ and one of the pillar principles of the WTO that underpins all substantive areas of the multilateral trading system.⁷² The China Protocol provides a lengthy article that spells out several specific transparency obligations including:⁷³

- Making public all relevant laws before they are implemented or enforced;
- Enforcing only laws that are published;
- Establishing an official journal dedicated to the publication of all laws;
- Giving the public a reasonable period of time to comment on laws before they are implemented;
- Establishing an entry point where published laws can be obtained and requests from the public can be authoritatively replied.

Second, the Protocol requires China to apply WTO agreements and obligations ‘to the entire customs territory of China’ at both the central and local levels.⁷⁴ More significantly, the laws,

⁶⁹ WTO Agreement on Safeguards, Art. 2.1.

⁷⁰ China Protocol, Art. 16.4.

⁷¹ For instance, one of the eight principles enshrined by Lon Fuller is ‘promulgation’, meaning the rules of law should be made known or available to the affected party. See Wang (n 42) 352.

⁷² China Protocol, Art. 2(C). See also Wang (n 42) 380.

⁷³ Wang (n 42) 380.

⁷⁴ China Protocol, Art. 2(A)1.

regulations and other measures shall be applied or administered ‘in a uniform, impartial and reasonable manner.’⁷⁵

Third, China is obliged to establish a judicial review mechanism in which tribunals are set up to promptly review all administrative actions ‘relating to the implementation of laws, regulations, judicial decisions and administrative rulings of general application’.⁷⁶ In addition, the judicial review tribunals shall be ‘impartial and independent’ of the administrative organs of the government,⁷⁷ while the review procedures shall allow the opportunity to appeal without penalty.⁷⁸

Julia Ya Qin considered the aforementioned rule of law requirements, among others, as ‘WTO-plus’ obligations undertaken by China.⁷⁹ For instance, with respect to transparency, China’s obligations to reply to requests for information within 30 days, provide a reasonable period for comment on laws before implementation, and translate all laws into at least one official language of the WTO, are not contained in any of the existing WTO agreements.⁸⁰ On judicial review, although the Protocol obligations are generally derived from Article X of GATT and Article 6 of GATS, among others,⁸¹ a WTO Member has no obligation to ‘institute a review mechanism if it would be inconsistent with its constitutional structure or the nature of its legal system’.⁸² In addition, the requirement for the ‘right to appeal’ imposes more stringent obligations than required by GATT, GATS and TRIPs, as there are no compulsory rules in those agreements regarding appeals.⁸³ Finally, on uniform administration, the requirement to hold the Chinese central government responsible for all actions of its sub-national/local governments itself is a WTO-plus obligation simply because, in the GATT/WTO system, ‘it may be argued that the central government is not in breach when a subdivision violates GATT or GATS as long as the central government has taken all reasonable measures within its power to ensure local observance.’⁸⁴

⁷⁵ China Protocol, Art. 2(A)2.

⁷⁶ China Protocol, Art. 2(D)1.

⁷⁷ China Protocol, Art. 2(D)1.

⁷⁸ China Protocol, Art. 2(D)2.

⁷⁹ Qin (n 53) 491.

⁸⁰ Ibid, 492.

⁸¹ Wang (42) 384.

⁸² Qin (n 53) 495.

⁸³ Ibid.

⁸⁴ Qin (n 53) 497.

One may however argue that the above-discussed requirements, WTO-plus or not, might still have made significant contributions to the development of the Chinese legal system towards the rule of law. As this author argued elsewhere,⁸⁵

China's construction of a 'thin' rule of law has been accelerated by the country's accession to the WTO, which has brought about massive revision of the WTO-inconsistent laws and promulgation of new ones. Specifically, WTO can greatly and effectively foster China's legal projects for the 'thin' rule of law because WTO's requirements on uniform, impartial and reasonable application of laws, transparency and judicial review obligate China to take measures which constitute key elements of the ['thin'] theories. Thus, the WTO has direct, albeit limited, impact on the rule of law construction in China.

4.3 China in the WTO Dispute Settlement System: Use and Compliance

China's experience with the WTO's dispute settlement mechanism (DSM), which John H. Jackson considered the core 'inchpin' of the whole trading system',⁸⁶ has gone through a lengthy learning curve. Initially, China took a passive role as a trade disputant in the first few years of its WTO accession, adopting a rather conciliatory approach in dispute resolution.⁸⁷ Between 2001 and 2008, China only initiated three WTO cases while being sued by others in thirteen disputes. Of the thirteen cases, six were settled through mutually agreed solutions.⁸⁸ There was, however, a sudden change of behaviour in 2009, when seven of the total fourteen cases brought before the DSB involved China, while China alone filed three cases. To date, China has brought 22 cases against other WTO members, been sued in 49 cases, and appeared as a third party in 192 cases.⁸⁹

⁸⁵ Wang (n 42) 388.

⁸⁶ John H. Jackson, *The World Trading System: Law and Policy of International Economic Relations* (2nd ed.) (Cambridge: The MIT Press, 1997) 124.

⁸⁷ Gregory Shaffer and Henry Gao, 'China's Rise: How It Took on the U.S. at the WTO', (2018) *University of Illinois Law Review*, 134. See also generally, James Scott and Rorden Wilkinson, 'China Threat? Evidence from the WTO', (2013) 47:4 *Journal of World Trade* 761-782; Chi Manjiao, 'China's Participation in WTO Dispute Settlement Over the Past Decade: Experiences and Impacts', (2012) 15:1 *Journal of International Economic Law* 29-49.

⁸⁸ Jiangyu Wang, 'International Economic Law and China', in Simon Chesterman, Hisashi Owada, and Ben Saul, *The Oxford Handbook of International Law in Asia and the Pacific* (Oxford: Oxford University Press, 2019) 237 at 248.

⁸⁹ 'Member Information: China and the WTO', at www.wto.org/english/thewto_e/countries_e/china_e.htm#disputesHeading.

China's engagement with the WTO dispute settlement system, as evidenced in the vast number of cases involving it, appears to display a rather positive attitude towards adopting a rules-based, legalistic approach to resolving disputes in international trade relations. This contrasts starkly with its displayed stance on legalized dispute settlement concerning non-economic issues.⁹⁰ As this author observed elsewhere, '[o]verall, China has been suspicious of binding dispute resolution at the international level, especially on sovereignty-related issues, such as territorial disputes,⁹¹ as evidenced in China's 'Four No's – namely, 'no acceptance, no participation, no recognition, no enforcement' – in the South China Sea arbitration.⁹² Contrasted markedly, China has never questioned the compulsory jurisdiction of the WTO's DSB either generally or in specific cases, as embodied in both its active participation in the dispute settlement process and its official rhetoric materials.⁹³ It is however worth noting that, with one exception, China has initiated complaints only against the US and EU in the WTO, though it has had trade tensions with a range of countries including Japan, Korea, the Philippines, among others.⁹⁴ That is, to the extent that China does have the discretionary power to decide how to use the WTO's dispute settlement mechanism, it has taken a strategic and instrumentalist approach. As James Scott and Rorden Wilkinson have observed,⁹⁵

China does not want to alienate the developing world and has therefore been highly circumspect about which trade concerns it chooses to take through the dispute settlement process. Rather, it chooses to use the DSM primarily in tit-for-tat retaliation in response to US and EU disputes.

⁹⁰ See the chapter 24 of this volume, Ignacio de la Rasilla and Hao Yayezi, 'China and International Dispute Settlement through Adjudicative and Other Means'.

⁹¹ Jiangyu Wang and Hua'er Cheng, 'China's Approach to International Law: From Traditional Westphalianism to Aggressive Instrumentalism in the Xi Jinping Era', (2022) 10:1 *The Chinese Journal of Comparative Law* 146.

⁹² See generally, Jiangyu Wang, 'Legitimacy, Jurisdiction and Merits in the South China Sea Arbitration: Chinese Perspectives and International Law', (2017) 22 *Journal of Chinese Political Science* 185.

⁹³ For instance, in China's first White Paper on the WTO, it stated 'China supports WTO members to solve their trade disputes within the WTO dispute settlement mechanism'. See State Council Information Office, 'China and the World Trade Organization', Part II:2, June 2018, at english.www.gov.cn/archive/white_paper/2018/06/28/content_281476201898696.htm.

⁹⁴ The one and only exception was Australia, against which China brought the case 'DS603: Australia – Anti-dumping and Countervailing Duty Measures on Certain Products from China', for which the WTO Dispute Settlement Body (DSB) has agreed to establish a panel on 28 February 2022, but, as of the writing, the panellists have not been chosen. See DS603's official webpage at www.wto.org/english/tratop_e/dispu_e/cases_e/ds603_e.htm.

⁹⁵ James Scott and Rorden Wilkinson, 'China and the WTO, Redux: Making Sense of Two Decades of Membership', (2022) 56:1 *Journal of World Trade* 87, 103.

China has also contributed to the enforceability of international trade law by delivering ‘a good record of compliance with adverse rulings.’⁹⁶ Weihuan Zhou conducted a thorough examination of four dozens of WTO disputes involving China to study the ‘quality’ of China’s implementation of WTO rulings.⁹⁷ He concluded that ‘China’s record of compliance compares favourably with those of the other major players in the system such as the US’.⁹⁸ However, Timothy Webster has argued that China’s implementation and enforcement of WTO rules and rulings can be best described as ‘paper compliance’, a theory which posits that ‘China will entertain legislative and regulatory reform to achieve a result compliant with a WTO ruling’.⁹⁹ However, the argument goes, legislative reform does not necessarily ensure ‘faithful compliance’.¹⁰⁰ Webster observed that, ‘[d]espite amendments to its legal and regulatory structures, China continues to implement policies that contravene the WTO’s neoliberal prescription of low tariffs, minimum export restrictions, market access, equal treatment of foreign investment, and strong intellectual property rights’.¹⁰¹ Assuming that all this is true and a cause of concern, Scott and Wilkinson pointed out that other great trading powers, namely the US and EU, have defied WTO decisions in similar ways, being ‘unwilling to subject its own economy to the full liberal spirit contained therein’.¹⁰² The US – and to some extent the EU – managed to excluded its protectionist farm subsidies and the textile and clothing sectors from the coverage of the GATT, and more recently, constantly refused to comply with endless adverse WTO rulings against its anti-dumping practice.¹⁰³ Unfortunately, this is the dark reality of international law in general and international trade law in particular:¹⁰⁴

[T]he pattern is quite similar across all great powers within the system: they comply where it is relatively uncostly to do so but ignore international law when principles at stake drive at more fundamental aspects of their political economy. In this sense, China is no different.

In recent years, the WTO dispute settlement system, which China has seemed comfortable with, is facing assaults, mainly from the US. Since October 2017, the US has blocked all

⁹⁶ Ibid, 103.

⁹⁷ See generally, Weihuan Zhou, *China’s Implementation of the Rulings of the World Trade Organization* (London: Hart, 2019).

⁹⁸ Ibid, 16.

⁹⁹ Timothy Webster, ‘Paper Compliance: How China Implements WTO Decisions’, (2014) 35:3 *Michigan Journal of International Law* 525, 533.

¹⁰⁰ Ibid.

¹⁰¹ Ibid, 574.

¹⁰² Scott and Wilkinson (n 94) 104.

¹⁰³ Ibid.

¹⁰⁴ Ibid.

appointments to the Appellate Body (AB), leaving it with no members (judges) since 2020.¹⁰⁵ As the AB is essentially a supreme court for global trade, the US effectively paralyzed the two-tier dispute settlement process by abolishing its appellate function. On 30 April 2020, nineteen WTO Members, including the European Union, China, Australia, Canada, Singapore, among others (but without the US), notified the WTO of the establishment of a Multi-Party Interim Appeal Arbitration Arrangement (MPIA) through which these Members committed to use the arbitration procedures provided for under Article 25 of the DSU as an interim appeal procedure to resolve WTO disputes among themselves which would otherwise be appealed to the currently non-functional AB.¹⁰⁶

The creation of the MPIA was an EU-led effort to address the disfunction of the AB. As the EU Commissioner for Trade Phil Hogan remarked, ‘This is a stop-gap measure to reflect the temporary paralysis of the WTO’s appeal function for trade disputes. This agreement bears testimony to the conviction held by the EU and many other countries that in times of crisis working together is the best option.’¹⁰⁷ China followed the lead of the EU in this endeavour, and its participation in the MPIA was crucial for the new system’s success. Without China, there would be no critical mass in terms of participating membership in the MPIA, especially considering that the US, Japan, UK, India and South Korea, all major trading nations in the world, were not part of the group. This gesture demonstrates China’s support for the multilateral trading system, though this move did not necessarily represent China’s attitude to structural reforms of the WTO, which is discussed in the next section.

4.4 China in WTO Negotiations: participation (or the lack thereof) in rule-making in international trade law

Forthrightly speaking, China has not made much contribution to the rule-making in international trade law, even though it has actively participated in the WTO’s trade negotiations since joining the organization in 2001. In part, this is because international trade law itself has not developed much in the past two decades. New rules for international trade are primarily

¹⁰⁵ ‘Appellate Body Members’, WTO website, at www.wto.org/english/tratop_e/dispu_e/ab_members_descrp_e.htm.

¹⁰⁶ ‘Statement on a Mechanism for Developing, Documenting and Sharing Practices and Procedures in the Conduct of WTO Disputes. Multi-Party Interim Appeal Arbitration Arrangement Pursuant to Article 25 of the DSU’, 30 April 2020, WTO doc: JOB/DSB/1/Add.12.

¹⁰⁷ ‘EU and 15 World Trade Organization members establish contingency appeal arrangement for trade disputes’, European Commission press release, 27 March 2020, at ec.europa.eu/commission/presscorner/detail/en/IP_20_538.

created through trade negotiations conducted by WTO members. Unfortunately, the Doha Development Round, launched in the same year as China's WTO accession, has essentially stalled due to the lack of substantial progress.¹⁰⁸ That said, China has actively participated in all WTO negotiations which, though generally fruitless, have achieved limited success on a few specific issues. However, no notable results have gained in market access and rule-making, as evidenced by the most recent negotiations concluded at the 12th Ministerial Conference (MC12).¹⁰⁹ As a key player in the WTO, China's involvement is crucial to the success – or failure – of any major trade negotiations in the GATT/WTO regime.

China was not an active participant in WTO negotiations, at least initially. One commentator described China as a 'silent player' in global trade talks in the early years,¹¹⁰ and speculated that it could be because China, as a newly acceded WTO member, lacked experience in economic negotiations and it took some time for it to take notes and learn from other WTO members.¹¹¹ In any event, before 2008, China's WTO diplomacy displayed a 'low-key profile', with the country not seeking a leadership role in the Doha Round negotiations or attempting to rewrite WTO rules in any substantial manner.¹¹² A Chinese source even indicated that China initially refused to join the established process of the small-group, 'green room' meetings in which a handful of countries dominated the trade talks and determined whether negotiations could achieve results or become fruitless in the end.¹¹³ During the Mini-Ministerial conference in July 2008 in Geneva, China was invited to join the a group of the key WTO members for small-room meetings and became a member of the so-called G7 countries comprising the US, EU, Japan, India, Brazil, Australia and China. The Mini-Ministerial failed, marking the collapse of the Doha Round, because the US and India could not agree on the numeric threshold about a 'Special Safeguard Mechanism' (SSM) for agricultural products.¹¹⁴ China eventually decided to side with India, showing its willingness to support the (protectionist) preferences of

¹⁰⁸ 'The Doha round finally dies a merciful death', *Financial Times*, 22 December 2015 at www.ft.com. See also generally David Kleimann and Joe Guinan, 'The Doha Round: An Obituary', Global Governance Programme Policy Brief, Issue 2011/June 2011.

¹⁰⁹ See 'WTO members secure unprecedented package of trade outcomes at MC 12', WTO news, 17 June 2022, at www.wto.org/english/news_e/news22_e/mc12_17jun22_e.htm. At MC 12, WTO members agreed on issues including fisheries subsidies, agreement to reform the WTO, compulsory licensing for COVID-19 vaccines, and food security.

¹¹⁰ Henry Gao, 'From the Periphery to the Centre: China's Participation in WTO Negotiations', (2012/1 | 2012) *China Perspectives*, 59, at journals.openedition.org/chinaperspectives/5823.

¹¹¹ Ibid, 59-62.

¹¹² C.L. Lim and Jiangyu Wang, 'China and the Doha Development Agenda', (2010) 44:6 *Journal of World Trade* 1309. See also Scott and Wilkinson (n 87) 771.

¹¹³ Scott and Wilkinson (n 87) 775 (interviews Chinese trade officials though this claim 'was uncorroborated and could not be fully verified').

¹¹⁴ Lim and Wang (n 108) 1318.

some developing countries though this position did not necessarily align with its own economic interests. In the end, China and India were jointly blamed by the US for having ‘thrown the entire Doha round into the gravest jeopardy’ by ‘controlling a large group of even poorer nations.’¹¹⁵ Since then, China has become more cooperative, though mainly on less significant issues which were unable to revive the Doha Round. For example, China and the US agreed on the Information Technology Agreement in the Nairobi Ministerial in 2015, helping prevent the ministerial conference from being a complete failure once again in the history of trade negotiations. Most notably,, China played a pro-active – somewhat leadership – role in helping the WTO secure a package of trade outcomes in the 12th Ministerial Conference (MC12) in July 2022, for which the WTO Director-General Ngozi Okonjo-Iweala explicitly stated that ‘China-USA cooperation was instrumental in getting to positive outcomes.’¹¹⁶ However, apart from these limited achievements, there has been little real rule-making in the WTO, even though the major economic powers in the WTO are involved in a competition to propose new rules for the next generation of international trade law, which is discussed in the next section.

4.5 China, WTO Reform, and the New Issues in International Trade Negotiations

The need for structural reforms of the WTO has been long-standing and has evolved into a crisis in the rules-based multilateral trading system, affecting the three functions of the WTO: ‘negotiations have failed to modernise the rules, the dispute settlement system has *de facto* reverted to the days of the GATT where panel reports could be blocked, and the monitoring of trade policies is ineffective.’¹¹⁷ China, as it has been alleged by Western countries, inadvertently made substantial contribution to the calamity here. An EU report has succinctly described the existing problems of the WTO system, in which China was regarded as one of the main troubles, as follows:

A key driver of the [WTO] crisis is that China’s accession to the WTO to the WTO has not led to its transformation into a market economy. The level at which China has opened its markets does not correspond to its weight in the global economy, and the state continues to exert a decisive influence on China’s economic environment with

¹¹⁵ Ibid, 1310.

¹¹⁶ Twitter post of Ngozi Okonjo-Iweala (@NOIweala) on 19 July 2022, at twitter.com/NOIweala/status/1538490877240295425.

¹¹⁷ European Commission, ‘Reforming the WTO: Towards a Sustainable and Effective Multilateral Trading System’ (European Union, 2021) 5.

consequent competitive distortions that cannot be sufficiently addressed by current WTO rules. But the WTO has not been able to negotiate new rules to tackle this or other pressing issues (e.g. digital trade or sustainability).

The United States, European Union and Japan have formed an ‘united front’ in dealing with China in the preparation for multilateral trade negotiations, as well as, in the public opinion warfare. This is partially due to the high degree of convergence in the reform agenda among them, through the so-called ‘joint statement initiatives’ in recent years.¹¹⁸ The first such statement, issued on 14 January 2020, saw top trade officials from the three parties agreed that the ‘current list of prohibited subsidies provided for in Article 3.1 of the Agreement on Subsidies and Countervailing Measures (ASCM) is insufficient to tackle market and trade distorting subsidization existing in certain jurisdictions”,¹¹⁹ a call ‘clearly taking aim at China’.¹²⁰ The joint statement also mentioned disciplining ‘forced technology transfer’, strengthening ‘market oriented conditions for a free, fair, and mutually advantageous trading system’, WTO institutional reform including developing country status, and ‘international rule-making on trade-related aspects of electronic commerce at the WTO’.¹²¹

It is however critical to emphasize that the Chinese position on WTO reform and multilateral trade negotiations is equally important. As Hoekman and Wolfe have noted, successful WTO reform depends on the joint effort of another triangular relationship:¹²²

China, the EU, and the US, as the WTO members with the largest shares in global trade, play a critical role in updating and bolstering the WTO to keep it fit in a rapidly changing world economy. Not two of them can provide the public good of an open liberal multilateral trading system on their own. The WTO reform is, to a large extent, a triangular challenge.

¹¹⁸ ‘U.S., EU and Japan trade ministers agree to renew three-way partnership – statement’, *Reuters*, 17 November 2021. See also, Andrew Stoler, ‘Joint Statement Initiatives’ and Progress in the WTO System’, Institute for International Trade, The University of Adelaide, at iit.adelaide.edu.au/news/list/2021/05/21/joint-statement-initiatives-and-progress-in-the-wto-system.

¹¹⁹ ‘Joint Statement of the Trilateral Meeting of the Trade Ministers of Japan, the United States and the European Union’, 14 January 2020, at trade.ec.europa.eu/doclib/docs/2020/january/tradoc_158567.pdf.

¹²⁰ Wendy Wu, ‘US, EU and Japan take aim at China with proposed WTO rules targeting state subsidies’, *South China Morning Post*, 15 Jan 2020, at www.scmp.com/news/world/united-states-canada/article/3046108/us-eu-and-japan-target-china-new-global-trade-rules.

¹²¹ Japan-US-EU ‘Joint Statement’ (n 119).

¹²² Bernald Hoekman and Robert Wolfe, ‘Reforming the World Trade Organization: Practitioner Perspectives from China, the EU and the US’, 29:4 *China and World Economy* 1-34, at 2.

In this context, China's own position on WTO reform and the new issues in international trade negotiations demonstrates three features. First, China remains a status-quo power, seeking only minor reform of the existing rules without intending to alter the fundamental structures of the GATT/WTO regime or transform it beyond its current nature as a multilateral institution for curbing trade barriers between nations. Consequentially, China has not been willing to support any proposal that might lead to radical change in WTO rules or its institutional structures. For example, regarding the WTO dispute settlement system, the United States alleged that the 'Appellate Body has added to U.S. obligations and diminished U.S. rights by failing to comply with WTO rules, addressing issues it has no authority to address, taking actions it has no authority to take, and interpreting WTO agreements in ways not envisioned by the WTO Members who entered into those agreements.'¹²³ Based on this, the US refused to continue engaging in the WTO dispute settlement system and has blocked Appellate Body (AB) appointments, causing the AB ceasing to function in 2019. However, China is part of the force in the WTO membership that aims to maintain the integrity of the dispute settlement system with only minor institutional changes. Specifically, China joined a few WTO members including the EU, Canada, India, Australia, and others, to propose amendments that would bring minor changes to the Understanding on the Rules and Procedures Governing the Settlement of Disputes ('DSU') while calling for WTO Members to act without delay to fill the vacancies of the Appellate Body.¹²⁴ In addition, it has made an insignificant proposal calling for improving the compliance of notification obligations since WTO Members' overall fulfilment of notification obligations still falls short of the requirements under various WTO agreements.'¹²⁵ Frankly, this is hardly a pressing issue in the current debate on WTO reform.

The second feature of Chinese position is its primary concern with using the WTO to constrain economic sanctions imposed by the United States against Chinese goods and industries. Thus, in China's official proposal on WTO reform, it has demanded the WTO to tighten disciplines in order to curb unilateralist punitive measures, including 'the abuse of national security exception' and the imposition of economic sanctions – particularly the

¹²³ United States Trade Representative, 'Report on the Appellate Body of the World Trade Organization', Feb. 2020, 'Introduction', at https://ustr.gov/sites/default/files/Report_on_the_Appellate_Body_of_the_World_Trade_Organization.pdf.

¹²⁴ 'Communication from the European Union, China, Canada, India, Norway, New Zealand, Switzerland, Australia, Republic of Korea, Iceland, Singapore, Mexico, Costa Rica and Montenegro', WT/GC/W/752/Rev. 2, 11 December 2018.

¹²⁵ 'China's Proposal on WTO Reform', communication from China, WT/GC/W/773, 13 May 2019, the World Trade Organization, para. 2.26.

‘secondary sanctions’ - inconsistent with WTO rules.¹²⁶ The former request was a response to tariffs imposed by the Trump administration on steel and aluminium imports in 2018 on the ground of national security protection,¹²⁷ while the latter generally referred to the unilateral economic sanctions adopted by the US – and its Western allies – against Chinese tech companies such as Huawei and ZTE. However, even on the issues of utmost concern, China did not push for radical or significant changes. For instance, on national security, it merely suggested to ‘enhance the notification requirements on measures such as imposing import tariffs on the ground of national security exceptions, and carry out multilateral reviews on such measures’.¹²⁸ On Western sanctions, it only hoped that ‘[s]uch unilateralist measures should be constrained through ... enhancing the multilateral review mechanism, authorizing the Members affected to take prompt and effective provisional remedies in cases of urgency and accelerating relevant dispute settlement proceedings.’¹²⁹

Interestingly, the third feature of China’s position reveals that it has taken an offensive stance, advocating on behalf of developing countries to criticizing the injustice experienced by the South because of the alleged privileges enjoyed by the North in the global economic system. In this regard, China requested reform of the existing WTO rules to address the ‘[s]ignificant inequality, imbalance and unfairness persist in current rules on agriculture, in particular the provisions regarding the Aggregate Measurement of Support (AMS).’¹³⁰ The AMS is a monetary measure of the annual level of domestic support provided to the producers of agricultural products. An AMS limit is based on the WTO Member’s agricultural support over a base period, through which the Member agrees to limit the support to a level at or below its AMS for the base period. Under the WTO’s Agreement on Agriculture, developed country Members have to reduce base-period support by 20 per cent over 6 years, while developing country Members do so by 13 per cent over 10 years.¹³¹ China claimed that ‘[a] number of developed Members enjoy high levels of AMS and therefore are able to provide much higher levels of support than their *de minimis* level with respect to a number of specific products,

¹²⁶ Ibid, Parts 2.1.2 and 2.1.3.

¹²⁷ China filed a WTO case against the US in 2018 and a panel report, a functional equivalent of the DSB’s ‘first instance’ judgement, was issued in December 2022. See *United States – Certain Measures on Steel and Aluminium Product*, Report of the Panel, WT/DS544/R, 9 December 2022 (hereinafter, DS544). In this case, the panel said it was not persuaded that the US faced an emergency in international relations to justify the innovation of the national security exception clause in GATT. The USTR later rejected the ‘flawed’ interpretation and conclusions of the panel.

¹²⁸ ‘China’s Proposal on WTO Reform’ (n 125), para. 2.7.

¹²⁹ Ibid, para. 2.10.

¹³⁰ Ibid, para. 2.11.

¹³¹ World Trade Organization, ‘Domestic support’, at www.wto.org/english/tratop_e/agric_e/ag_intro03_domestic_e.htm.

seriously distorting agricultural production and trade'.¹³² On this basis, it boldly proposed that the 'AMS entitlements of developed Members should be eliminated in gradual instalments.'¹³³ Similarly, China rhetorically defended the right of special and differential treatment (S&D) for developing countries in the WTO, advocating for a more specific, visible, effective and operationalizable S&D regime.

There is no consensus on what constitutes the 'new issues' in WTO negotiations. By definition, the 'new issues' are areas in international trade and investment which require new global rules to be made at the multilateral level. From the EU's perspective, they are e-commerce, investment facilitation, domestic regulation of services, and the role of the state in the economy.¹³⁴ Furthermore, in regards to China, the EU and the US, together with Japan on some occasions, have agreed to update the WTO rulebook 'with more effective disciplines on industrial subsidies, unfair behaviour of state-owned enterprises, and other trade and market distorting practices'.¹³⁵ However, China has refused to align with their priorities. For China, the new issues are trade and investment, investment facilitation, and the treatment of micro, small and medium sized enterprises (MSMEs),¹³⁶ and China merely hoped the WTO Members to continue to discuss those issues but itself has not demanded for any new rules to be made.¹³⁷

In summary, it can be reasonably argued that China maintains its role as a status quo power in international trade, particularly in relation to WTO reform and trade negotiations. In essence, this reveals a deep-rooted Chinese commitment to preserving the existing international trade system. This stance serves China's interests in two primary ways. First, it ensures that China remains a beneficiary of traditional free trade principles, such as non-discrimination treatment, prohibitions on quantitative restrictions, and treaty-based reciprocity. By adhering to these principles, China retains its central position within the global production networks. Second, this approach allows China to sidestep challenging questions, especially those regulatory issues pertaining to the relationship between the state and business.

¹³² 'China's Proposal on WTO Reform' (n 125) para. 2.11.

¹³³ Ibid, para. 2.13.

¹³⁴ EU, 'Reforming the WTO' (n 117) 10.

¹³⁵ European Commission, 'EU-US Relations: Factsheet on Reforming the WTO', at trade.ec.europa.eu/doclib/docs/2021/june/tradoc_159643.pdf . See also 'Joint Statement of the Trade Ministers of the United States, Japan and the European Union After a Trilateral Meeting', 30 November 2021, at ustr.gov/about-us/policy-offices/press-office/press-releases/2021/november/joint-statement-trade-ministers-united-states-japan-and-european-union-after-trilateral-meeting .

¹³⁶ 'China's Proposal on WTO Reform (n 125) para. 2.23.

¹³⁷ Ibid, para. 2.25.

V China's FTA Strategy: Building a Parallel Trade Order

5.1 China and Asian Regionalism: From ACFTA to RCEP

To the extent that it is defined as 'a legal regime governing the economic and commercial activities attendant to foreign trade',¹³⁸ international trade law extends beyond the rules of the multilateral trading system. The rise of regionalism, characterised by the proliferation of regional and free trade agreements (RTAs or FTAs), has been striving to establish a parallel – and to some extent – alternative trade order on a regional basis. The first wave of trade regionalism started in West Europe in the 1950s with the establishment of regional integration organizations, which later became the European Economic Community (EEC) and eventually the European Union (EU). The second major wave of regionalism was kicked off by the North American Free Trade Agreement (NAFTA), which took effect in 1994. Asia jumped on the bandwagon of regional economic integration a decade later when China, in anticipation of its WTO accession, proposed an FTA to the leaders of the Association of Southeast Asian Nations (ASEAN) in 2000. A Framework Agreement on ASEAN-China FTA, known as the ACFTA, was signed in 2002 and a fully-fledged ACFTA took shape in 2010.¹³⁹ Since then, China has become one of the most active players in concluding FTAs. As of this writing, China has signed twenty-two such agreements, is engaged in negotiations for ten agreements, and has eight agreements under consideration (meaning they are at the feasibility study stage).¹⁴⁰

The Regional Comprehensive Economic Partnership (RCEP) agreement, which came into effect on 1 January 2022, was the most important FTA China has signed up and played an instrumental role in the successful formation of the world's largest free trade area by economic output, share of global trade and GDP, and population.¹⁴¹ Although the RCEP was widely believed to be led by China in response to the US-dominated Trans-Pacific Partnership (TPP),

¹³⁸ Jiangyu Wang, 'China's Regional Trade Agreements: The Law, Geopolitics, and Impact on the Multilateral Trading System', (2004) 8 *Singapore Year Book of International Law* 119.

¹³⁹ Jiangyu Wang, 'Association of Southeast Asian Nations-China Free Trade Agreement', in Simon Lester and Bryan Mercurio (eds.), *Bilateral and Regional Trade Agreements: Case Studies* (Cambridge: Cambridge University Press, 2009) 192, 193.

¹⁴⁰ See 'China FTA Network', official website for FTAs established by the PRC Ministry of Commerce, at fta.mofcom.gov.cn.

¹⁴¹ See Policy Department for External Relations of the European Parliament, 'Short Overview of the Regional Comprehensive Economic Partnership (RCEP)', EP/EXPO/INTA/FWC/2019-01/LOT5/3/C/06, February 2021.

it was not a Chinese initiative. In fact, RCEP negotiations were proposed and driven by the ASEAN, much to China's satisfaction. 'China happily joined the RCEP negotiations not because it could be a tool to exclude the U.S., but because it saw this as an opportunity for it to overcome its exclusion from the TPP and, accordingly, the Asian economic integration process'.¹⁴² China enthusiastically welcomed the conclusion of the RCEP negotiations and promptly began implementing the rules.¹⁴³ However, compared to the TPP, which later became the CPTPP (Comprehensive and Progressive Agreement for Trans-Pacific Partnership) following the US withdrawal, the RCEP is a 'shallow' agreement conducting a relatively lower level of trade liberalization. Nevertheless, the RCEP is still more significant than all other China's FTAs in terms of the extent and scale of free trade promotion. In addition, the RCEP's dispute settlement system adds more diversity to the toolbox for dispute resolution in China's external trade relations. Chapter 19, the dispute settlement part of the RCEP, builds upon the existing dispute settlement mechanisms in the WTO and ASEAN+1 FTAs, but also deviates from them with regard to RCEP's exclusion of non-violation complaints, removal of the appellate body, and allowing the panel to reconvene after suspension of concessions/obligations. One commentator noted that the RCEP dispute settlement system incorporates the 'ASEAN way' to promote 'flexibility, consensus and the avoidance of direct confrontation in resolving inter-state controversies.'¹⁴⁴ As the WTO's dispute settlement mechanism is facing heavy criticism – mainly from the US – as being too rigid and legalistic, the RCEP might have offered a more pragmatic approach for Asian countries to work out their economic disagreements.

5.2 Characteristics of China's 'Free Trade Agreements (FTA) Strategy' and the Implications for International Trade Law

About two decades ago, China made the signing of FTAs a 'national strategy', 'which, in China's political language, usually suggests that the Chinese state will mobilize all possible

¹⁴² Jiangyu Wang, 'Between Power Politics and International Economic Law: Asian Regionalism, the Trans-Pacific Partnership and U.S.-China Trade Relations', (2018) 32:2 *Pace International Law Review* 383, 422.

¹⁴³ 'Premier Li Keqiang Chaired the State Council's Executive Meeting to Plan for the Implementation of the RCEP after It Taking Effect' (李克强主持召开国务院常务会议 部署做好《区域全面经济伙伴关系协定》生效后实施工作), *Xinhua News*, 23 December 2021, at fta.mofcom.gov.cn/article/rcep/rcepnews/202112/46722_1.html.

¹⁴⁴ Massimo Lando, 'Enhancing Conflict Resolution "ASEAN Way": The Dispute Settlement System of the Regional Comprehensive Economic Partnership', 12 *Journal of International Dispute Settlement* (2022) 98.

resources to fulfil its realization'.¹⁴⁵ In his 2009 Work Report, Chinese Prime Minister Wen Jiabao stated that 'China will accelerate the implementation of the FTA strategy'.¹⁴⁶ Shortly after assuming China's paramount position, President Xi Jinping called for the 'acceleration of FTA strategy' in December 2014 and requested Chinese authorities to be pro-active in making use of FTAs to open foreign markets, especially in light of the decline of multilateralism under the umbrella of the WTO.¹⁴⁷

China's FTA programmes concluded thus far exhibit the following characteristics. First, there is diversity in terms of FTA partners, coverage, and level of integration. China's FTA partners are widely diversified and can be grouped in three categories: high-income developed countries (Australia, New Zealand, Singapore, Switzerland, Singapore, Korea, Iceland); middle-income countries (Chile, Peru); developing countries (Cambodia, Mauritius, Maldives, Pakistan, Costa Rica, among others). The second feature is flexibility and pragmatism. Unlike the US, China does not have a template for FTAs,¹⁴⁸ and its approach to negotiating FTAs is conspicuously flexible and pragmatic. In other words, China's FTA strategy is outcome-oriented, and it does not have a fixed approach towards regionalism. It generally does what it practically takes to reach FTAs with other countries when the coverage and level of trade liberalization are concerned. In coverage, some of the FTAs are comprehensive ones (RCEP, ACFTA, China-Australia, China-Korea, China New Zealand, China-Singapore, for example), while many others are limited agreements covering much fewer sectors and products. Additionally, the level of integration ranges from 'shallow' to 'deeper'. The FTAs with Australia, New Zealand, Singapore and South Korea are examples of high-level trade agreements, while most of the others were comparatively shallow. This pragmatic approach leads to the third feature: China has strategic planning in choosing FTA partners, gaining negotiating and rule-making skills through FTA negotiations, phasing in economic liberalization to ensure the success of agreements, and connecting FTAs to bilateral investment treaties (BITs).¹⁴⁹

¹⁴⁵ Jiangyu Wang, 'China and East Asian Regionalism', (2011) 17: 5 *European Law Journal* 611, 612.

¹⁴⁶ Ibid.

¹⁴⁷ Xi Jinping, 'Accelerating the Implementation of the FTA Strategy and Accelerating the Construction of a New Openness Oriented Economic System(习近平: 加快实施自由贸易区战略 加快构建开放型经济新体制)', *Xinhua News*, 6 December 2014, at fta.mofcom.gov.cn/article/zhengwugk/201412/19394_1.html.

¹⁴⁸ Before the TPP, traditional US FTAs were based on NAFTA.

¹⁴⁹ As to China's BITs, see chapter 21 of the volume, Freya Baetens and Sheng Zhang, 'China and International Investment Law-An Emerging Rule-Maker?'. It is worth noting here that China has attached great importance to concluding BITs with the US and the EU. Negotiations for a US-China BIT were launched in 2008 and went

VI China-US Trade War: Superpowers' Assault on International Trade Law

The China-US trade war, initiated by the Trump administration in March 2018 and continuing today (since the Trump tariffs all are still in place halfway through the Biden administration) is a prime example of blatant disregard for international trade law by great powers, which, at this stage, are the United States and China.¹⁵⁰ The initial 25 per cent tariffs imposed on a list of 1,333 Chinese products worth of USD 50 billion by the Trump government was met with China's retaliation of 25 per cent tariffs on 106 American products, covering also USD 50 billion of Chinese imports from the US.¹⁵¹ Punishing duties between the two countries went back and forth. In the end, the US has imposed tariffs on roughly USD 335 billion of Chinese goods, covering 66.4 per cent of US imports from China. Meanwhile, China's retaliatory tariffs on USD 90 billion American goods accounted for 58.3 per cent of imports from the US. Consequently, average US tariffs on Chinese exports have now reached 19.3 per cent, while Chinese tariffs on American goods have risen to 21.2 per cent, both well above their bound tariff rates committed as WTO members.¹⁵²

The tariff measures of both the United States and China nakedly breached the rules of international trade law under the GATT/WTO regime. As Julia Qin lucidly wrote,¹⁵³

At the most basic level, both the US Section 301 tariffs and China's retaliatory tariffs have violated GATT Article I 'General Most-Favoured-Nation Treatment', and Article

through about three-dozen rounds of negotiations. In those negotiations, China agreed to subscribe to the negative list approach in investment and services, and provide pre-establishment national treatment for foreign investment and investors. China and the EU reached the Comprehensive Agreement on Investment (CAI) in 2020 but its ratification was frozen by the European Parliament in May 2021 thanks to a diplomatic fiasco between the two sides. The CAI marks a significant step in China's economic liberalization as the 'high standard' provisions in the CAI exceeded China's commitments in almost all its other FTAs and BITs (except, to some degree, the Closer Economic Partnership Arrangement (CEPA) with Hong Kong).

¹⁵⁰ On the major events concerning the China-US trade war, see Chad P. Bown and Melina Kolb, 'Trump's Trade War Timeline: An Up-to-Date Guide', 21 June 2022, at www.piie.com/sites/default/files/documents/trump-trade-war-timeline.pdf.

¹⁵¹ Ibid.

¹⁵² In comparison, the final bound tariff rate of the US, for both agricultural and non-agricultural produces, is 3.3 per cent, and the simple average MFN applied rate was 3.4 per cent in 2021. China's simple average final bound tariff rate is 10 per cent, and the applied simple average MFN rate was 7.5 in 2021. See 'Trade Profiles' of WTO members, at www.wto.org/english/res_e/statistics_e/tariff_profiles_list_e.htm.

¹⁵³ Julia Ya Qin, 'WTO Reform: Multilateral Control Over Unilateral Retaliation – Lessons from the US-China Trade War', Wayne State University Law School Legal Studies Research Paper Series No. 2020-73, downloadable at www.ssrn.com/link/Wayne-State-U-LEG.html.

II ‘Schedules of Concessions’. Under GATT Article I, a WTO Member is required to treat another Member no less favourably than it treats any other country with respect to customs duties and related matters (MFN treatment). Because Section 301 tariffs apply to China alone, the US has treated China less favourably than other Members, hereby breaching its obligation under Article I. by imposing additional tariffs on China, the US has raised its duties above the scheduled level, thereby breaching its obligations under GATT Article II.

A similar line of legal reasoning was adopted by the Panel in WTO case DS543 ‘US – Tariff Measures’, which was initiated by China challenging US tariff measures imposed during the trade war for violating Articles I and II of GATT.¹⁵⁴ The Panel refuted the US argument which sought to justify its tariffs on Chinese goods under the GATT exception of ‘public morals’, and concluded that the ‘challenged [US] measures are *prima facie* inconsistent with Articles I:1, II:1(a) and II:1(b) of the GATT 1994’.¹⁵⁵ In short, the Panel made it more than clear that the United States violated WTO law – the masterpiece of international trade law – in imposing extra tariffs on Chinese goods. The Panel however did not intend to lend any legitimacy, through this decision, to any of China’s retaliatory measures. Instead, the Panel issued an unusual concluding comment to indicate that it would likely make a same or similar ruling should China’s relevant measures be challenged.¹⁵⁶

At the same time, it is not the role of this Panel to draw any legal conclusions or make recommendations on any matters other than those it has been specifically tasked to deal with through those dispute settlement proceedings. In this connection, the Panel recalls that the Government of the United States has not ... initiated action under the WTO Dispute Settlement Understanding with respect to any measures China has imposed in response to the United States’ measures at issue in this dispute.

The Panel’s aforesaid statement points to another violation of WTO law by China and the US. That is, the WTO prohibits unauthorized ‘self-help’ in international trade relations. Article 23 of the Understanding on Rules and Procedures Governing the Settlement of Disputes (‘DSU’) grants WTO Members the right to seek redress of a violation of GATT/WTO obligations by bringing complainants against the offending Member to the Dispute Settlement Body (DSB),

¹⁵⁴ United States – Tariff Measures on Certain Goods from China: Report of the Panel, WT/DS543/R, 15 September 2020 (hereinafter DS543 Panel Report).

¹⁵⁵ DS543 Panel Report, paras 8.1, 8.2.

¹⁵⁶ Ibid, para. 9.3.

which has compulsory jurisdiction over trade disputes between the Members. Article 23 prohibits disputants Members from making self-determination as to whether a violation has occurred and taking any retaliatory action without the authorization of the DSB. The DSB decides whether to recommend retaliation after a case going through the dispute settlement process.¹⁵⁷ By resorting to unilateral punitive and retaliatory measures against each other, rather than bring complainants to the WTO's dispute settlement mechanism, both China and the United States violated, again, the WTO law.

The US-China trade war has had disastrous consequences for the development of international trade law. Resorting to unilateral and tit-for-tat measures, the world's two largest economies displayed a blatant disregard for WTO law. This tremendous phenomenon has generated an impression that the superpowers can ignore rules of international trade law whenever their domestic and geopolitical agenda dictate. Furthermore, the behaviours of the US and China during the trade war have also damaged their own reputation as leading state-citizens of the international society.

More significantly, the US-China trade war seems to be just the beginning of something much bigger and increasingly threatening our world today. It appears to be part of a broader shift towards a confrontational rivalry between the United States and China.¹⁵⁸ This development is not positive news for the contemporary credibility and future prospects of international trade law, as it makes it increasingly difficult for trading nations to trust in the multilateral trading system and invest in WTO's trade negotiations.

VII. Conclusion

China's history with international trade law has been a journey full of twists and turns. In the first three decades after the establishment of the PRC, it was an outlier of the international economic system. However, it then embarked on the path of steady integration into the neoliberalism-based world economy. Since the late 1970s, China had been preparing to join the West-dominated international economic order by reforming its centrally planned economy and pursuing economic openness on unilateral – and occasionally bilateral – basis. Its WTO

¹⁵⁷ Qin (n 126) 18.

¹⁵⁸ Yukon Huang, 'he U.S.-China Trade Has Become a Cold War', Carnegie Endowment for International Peace, 16 September 2021, at carnegieendowment.org/2021/09/16/u.s.-china-trade-war-has-become-cold-war-pub-85352.

accession marked an epic moment in China's openness to international trade and investment, as well as, its harmonious relationship with the US-led Western world.

Circumstances began to change about a decade later when mounting accusations emerged, putting China on the defensive regarding its (stalled) economic reform and trade and investment liberalization. The ongoing US-China trade war has generated two implications in this regard. First, the findings of the USTR's Section 301 investigation, together with the numerous reports issued in recent years documenting the inconstancies of China's trade law, policies and practices with international trade law, have revealed a deep-rooted mistrust of China by the US regarding China's commitment to being a law-abiding member of the international economic system. Second, a common theme in the American and Chinese approaches to the 2018-initiated trade war is their disregard of international trade law, as the 'trade war has been waged outside the WTO legal framework' based more on the law of the jungle in a presumably anarchic international society. Both implications point to the unfortunate demise of international trade law, at least according to the current geopolitical and economic situation.

A robust system of international trade law depends on three factors: trade negotiations, dispute settlement mechanisms, and most significantly, trading nations' belief in rule of law in international economic relations. The current situation does not provide reasons for optimism. The Doha Round essentially ended over a decade ago, leaving multilateral trade negotiations unattainable in the foreseeable future. The United States' ongoing block of the appointment of WTO Appellate Body members has essentially paralyzed the dispute settlement mechanism for global trade. The US-China trade war has further undermined the credibility of international trade law.

If China and the United States wish to mend the situation so that trading nations can continue doing business with each other based on their comparative advantages under a sustainable framework of international trade law, they must work together with the EU, Japan, emerging economies and developing countries to start negotiations on controversial issues including reforming the WTO's dispute settlement mechanism, treatment of state-owned enterprises, intellectual property rights, e-commerce/digital trade, investment protection, social issues relating to labour, environment and human rights, climate change, among others.

China's relationship with international trade law will continue to evolve and will have an even larger impact on the international economic order in the future. It is already the largest

trading nation in terms of combined imports and exports, China's compliance with the rules of international trade law will always be a significant concern for the international community,. China's trade policy and behaviour will greatly impact not only its economic relations with trading partners but also the global economy in general. More significantly, China's stance on the so-called 'new issues' directly affect the direction of the evolution of international trade law at the multilateral level. China's rise has benefited from the liberal economic order, and it thus has a moral obligation to safeguard the order to ensure that it can continue to carry out free and fair trade on not only regional but also global basis under international trade law.